

trade the pattern. Buy once price resumes its upward trend after the throwback completes.

[Table 39.11](#) shows special features of the head-and-shoulders pattern. However, I don't include bear market statistics because they show no performance advantage.

Neckline slope. Head-and-shoulders patterns with down-sloping necklines performed slightly better than up-sloping ones.

Shoulder lows. “Left shoulder above right.” I am comparing the lowest price in each shoulder. When the left shoulder bottomed above the right, the average rise after the breakout was 43%. When the left shoulder bottomed below the right, performance improved, to 47%.

[Table 39.11](#) Special Features

Description	Bull Market
Neckline slopes up, performance	44%
Neckline slopes down, performance	46%
Left shoulder above right, performance	43%
Left shoulder below right, performance	47%

Experience

I have traded this chart pattern a lot over the decades. I looked through most of my trades and found these common elements.

- Do buy in early (at the breakout and not much later). Place a buy stop at the neckline or right armpit. That means you get in on time, at the breakout. If the breakout has already happened, then wait for a throwback for a better entry price.
- Don't attempt to buy before confirmation. You'll likely suffer a loss when the pattern doesn't confirm. I tried this a few times and made a significant amount of money, but it's risky.
- Five percent failures happen fast, usually in a week or two. Do place a stop below the right shoulder low. That will act as a tourniquet and